GMS WEEKLY

Your Source for Recycling News

January 3rd, 2025
Week 1
Volume 268, Issue 1167

Highlights:

- **Cautious optimism.**
- **VLCCs sold.**
- **HKC progress.**
- **Price cool.**
- **Supply increase.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"No meetings or phone calls unless I'm picking up a check. Everything is email."

– Mark Cuban

-- MARKET COMMENTARY --

NEW YEAR, NEW CHEER!

As forecasted in last week's edition of the WEEKLY, 2025 seems to have started on an optimistic note in the ship recycling markets, with a noticeable willingness to buy from various buyers across the Indian sub-continent board who have now seen their plots empty out amidst a decade long dither in the supply of vessels seen across 2024. Although the turn of the year seems to be bringing in a sprinkle of optimism, there remains little to be cheery about as key economic factors affecting the various ship recycling locations continue to wobble as warring unrest rages on and primary fundamentals deliver a mix of the usual + a sprinkle of worry as the U.S. Dollar continues to rage on against all ship recycling destinations this week. On the back of the news of gas supply from the Ukraine to the EU being cut off last week, oil exports to both winter-ridden Europe and even the U.S. saw oil prices surge this week, adding another 5% and closing the week at nearly USD 74 / barrel despite ongoing demand concerns resulting from China's economic fragility, as stimulus package concerns keep demand (for oil) from the world's largest importer in check. An even colder winter is expected to keep or worse yet, drive prices up in the near future. Additionally, after reporting a dreadful Q4 in charter rates, the Baltic Index reported a surprising gain as the week ended with a surging of about 4.2% that could potentially delay the inflow of tonnage.

Meanwhile, and as reported in prior editions, news of several large LDT wet units (including those with questionable / sanctioned backgrounds) were seen making the rounds on the back of which, several VLCCs are reported to have been concluded over preceding week, to the few financially capable recyclers in both India and Bangladesh. Although there is a significant disparity in pricing a +40K LDT asset that requires greater financing and ability to endure the fluctuations of the market over longer cutting periods, when compared to the smaller sub-4K LDT units that have been the primary diet through 2024 as stricter L/C and banking limits on larger U.S. Dollar value transactions have become notably tighter to obtain over these last few years. This has exacerbated the crippling effect that recyclers have faced whilst looking to transact and has seen otherwise busy port positions remain drastically empty or with bare minimum units, as further highlighted this week.

Meanwhile, as progress has been made in Bangladesh over the last year in upgrading facilities ahead of the HKC's entry into force by the middle of this year, four yards managed to obtain their HKC approvals with several more reportedly set to follow in the months ahead. Prices too have cooled off towards the end of 2024 and hope for an increased bullishness in recycling markets once the pro-business President Trump resumes office in January, remains hanging. India finally announced tariffs on the economic damage that cheaper imported Chinese steel has done via undercutting domestic inventories in Alang (and even Gadani) across 2024, one that has seen a reflection in the performance of steel plate prices at these locations. This price cooling seems to inadvertently have brought Pakistan back into the picture as several end buyers are now raising enquiries on the marginally available units on offer, albeit at expectedly lower levels than their competitors. At the West End, Turkey remains solidified in its economic predicaments, with no change reported this week. With Supply expecting to increase going into the 2025 (and hopefully beyond), we may not see the deluge of vessels for a recycling sale just yet, as owners continue to reap the benefits of an extremely profitable last few years and take their older units right to the end of their trading lives.

BANGLADESH

2025 = 2024?

Uncharacteristic.

Although 2024 delivered an uncharacteristically muted year and especially Q4 in Chattogram, any real momentum has failed to take hold under the interim government since July 2024 when the rioting first broke out, resulting in a highly volatile and tumultuous end to the year for the entire nation, which then saw the abdication of former PM Sheikh Hasina, and a disastrous and costly flooding that set the country back economically a great deal, whilst the state of fundamentals continues to hammer away at the purchasing mindset of Chattogram Choppers at the bidding tables. While demand for the right units at the right price and backed by the ability to obtain financing does prevail, these hurdles aside, levels perhaps remain lower than hoped for and a return to prices closer to the elusive USD 500/Ton mark remains out of reach of the #1 market in the world.

Taka record.

And as stated earlier, Bangladesh's economy has been the prime mover behind the ongoing see-saw in performance at the ship recycling end. To start, the U.S. Dollar suffered an intentionally calamitous decline in the middle of 2024 that saw the Taka teetering in the high BDT 119s against the U.S. Dollar for the rest of the year. And this week was the one to re-write the history books as the Taka spiked to a record BDT 121.90, before retreating and winding the week down at BDT 120.01. Local steel plate prices too have added another mountain to trudge as they have not only remained dead on the floor for months on end (including this week), but they have also only recorded movements that have been on a consistently downward trajectory resulting in levels remaining stagnated at a USD 521/Ton, crippling the ability of local recyclers to offer on vessels approaching the coveted USD 5XX/Ton.

IMF experiment.

Q1 of 2025 isn't forecasted to offer as much hope as expected by the nation's leading economists as they fear that political agendas now seem to occupy much of the ongoing reform efforts that could see a muted start to, if not all of the 2025. Even Bangladesh's loan experiment with the IMF that eventually saw the drastic and intentional depreciation of the Taka has done more to harm the Bangladeshi economy under the prior administration's oligarchic collaborations, as the current administration is still trying to curtail and keep domestic inflation in check, while simultaneously attempting to make arrangements on alternative bailout packages and help ease the nation's precipitating instability.

Notwithstanding the unfolding efforts of local recyclers, at least one sale managed to conclude into Bangladesh as bulker THREE STAR (7,626 LDT) found a spot on Chattogram's beaches in the immediate future. Yet, Chattogram's waterfront continues to take a beating as there have been no new arrivals this week and the only thing not earmarking Bangladesh's first empty port report for 2025 is last week's arrival that is still idling at anchorage awaiting her turn on the next tide. 2025 isn't off to the best of starts.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
THREE STAR	Bulker	7,626	USD 470/LT LDT

INDIA

BARGAIN BANGERS!

Low on volumes.

Despite being the most aggressive of all ship recycling destinations at the start of 2025, Alang recyclers continue to seek bargains on the marginally few vessels that have been proposed for sale over the festive period - and logically so. As is the case with Bangladesh, Indian fundamentals have suffered in kind as not only did Indian plate prices suffer catastrophic declines across 2024 resulting in the lowest steel prices in the Indian sub-continent, but they also suffered another marginal trip this week, declining another USD 1/Ton and end the week at USD 460.64/Ton. Yet, it was the Indian Rupee that stole the championship for the worst performance as not only did it breach a record Rs. 86 against the U.S. Dollar, it re-adjusted itself by the time the week ended, closing it out at another record Rs. 85.77.

Taking advantage.

While the naturally nervy mindset of local recyclers has certainly taken a hit over these key declines, the overall pervading optimism towards the nation's economic reform via India's upcoming budget for FY 2025 – 2026 that is due on February 1, 2025, remains omnipresent, especially as the business-driven PM Modi's ruling party gained further seats in the Parliament via India's regional elections that were concluded in November 2024, further helping Alang recyclers maintain local pricing elevated at or even above local steel plate prices, gradually clawing at Bangladesh's offer margins.

Tariffs on steel.

Economically, the much larger nation has financially outperformed its ship recycling competitors via a consistent performance at the waterfront and ongoing offerings at the bidding tables despite the calamitous state of 2024, which only speaks volumes of the ability of this market to sustain itself no matter what the unfolding situation(s). Alang recyclers have also been able to take advantage on HKC only tonnage and specialist units that have been introduced for ship recycling throughout 2024 and even this week, where tanker RIALTO (9,711 LDT) and another private container was sold to Indian buyers for HKC only recycling. Alang's port position has also gotten a larger boost than all of its competitors as another 3 vessel / 18K LDT arrived the nation's waterfront this week.

Overall, despite levels remaining disappointingly lower than expected, ship owners & cash buyers are finally coming to terms with the pervading reality of recycling and India remains the market to go to for consistent and reliable performance. Moreover, as tougher tariffs have been announced on the deluge of comparatively cheaper Chinese steel that has been dumped into the local market at damaging levels below that of existing steel inventories through much of 2024, these tariffs should see further optimism from local buyers at the bidding tables and ongoing activity at Alang's waterfront, especially if the upcoming budget addresses key areas of economic growth and further help move ship recycling prices further ahead in 2025.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
RIALTO	Tanker	9,711	USD 475/LT LDT

PAKISTAN

FLICKERS OF LIFE?

Demand returning.

Even though there were flickers of life in the Pakistani market at long last this week and several larger LDT units, including VLCCs, were reportedly proposed for a recycling sale towards the end of December 2024 into Gadani, these proposals have yet to translate into any finalized deals as yet and it does seem as though Gadani buyers are finally making a reasonable attempt at the bidding tables with the turn of the year! Like the rest of the world, exacerbating economic fractures coupled with a torrid devaluing of the Pakistani Rupee to its current state has also seen with it, local steel plate prices gradually slip from the highs of USD 765/Ton to a destitute USD 659.37 (yet highest in the industry) where it ended the week this week. Even the collapsed to a reasonable level PKR fell another 15 basis points against the U.S. Dollar, down to PKR 278.60.

No sales yet.

The collapsed state of domestic U.S. Dollar reserves is a great part of the equation that is translating into the ongoing performance of Gadani ship recyclers throughout all of 2024, where local port position eventually ended the 3rd straight month and the year at large, on an empty note. While a pending IMF loan subject to the conclusion of incomplete investigations hangs in the balance, the surprise announcement of the World Bank granting a USD 2 Billion loan package to the Pakistan came to light this week, which should in tur, alleviate short term financing stresses for the various non-critical domestic sectors including ship recycling, where the government has maintained current restrictions on the issuance of U.S. Dollars for domestic consumption via the issuance of large value L/Cs for Gadani's ship recycling community.

Big year ahead?

Should the above materialize positively for Pakistan, it will also end up being a big year for Gadani as the pending and urgent need to desperately upgrade Pakistani ship recycling facilities to HKC approved standards and moreover, vetted by IACS societies for approval, may suddenly inject new life into this failing sector. This should help the Gadani gang not only be more competitive at the bidding tables in the near future once the funds have hit, but the overall business of ship recycling should be able to resume normally under the guidelines of the HKC once facilities get accredited in time.

Certainly, looks like Pakistani ship recycler have a lot of work cut out for them in the near future and should all of the above come optimistically to fruition, 2025 might just turn out to be one of the biggest years on record for the Gadani's ship recycling sector.

MARKET SALES REPORTED

TURKEY

TRAILER!

Parachute.

With the new year now in tow, January has started off just as tired as 2024 ended for Aliaga's ship recycling sector, with little to no movement reported on local and imported steel prices. However, it was the Turkish Lira that continues to take centre stage with another reported 38 basis point drop against the U.S. Dollar, wrapping up the week at TRY 35.65.

Aliaga has been so quiet that there has barely been any movements from local recyclers at the bidding tables, resulting in levels remaining paralyzed for another week despite the collapsing Lira. Tonnage supply, which stands to increase globally through 2025 might just provide the parachute this market needs. For now, however, the matter remains very much in status quo as Turkey continues to trail the ship recycling world in currency declines, minimal activity with its weakened offerings, and a sub-continent market that is gearing to go.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 1 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	460 / LDT	480 / LDT	490 / LDT
2	India	**Stable**	450 / LDT	470 / LDT	480 / LDT
3	Pakistan	**Stable**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	310 / LDT	320 / LDT	330 / LDT

MORE AWESOMENESS.

- *There is no federal law banning the creation of fake images of people.*
- *Several studies have found that optimism is associated with a lower risk of heart disease, and people who score highly on tests of optimism live 5 to 15 percent longer than people who are more pessimistic.*
- *Over the next decade, the following copyrighted works will enter the public domain: Popeye; Pluto; Donald Duck; King Kong (the original film version); Superman; Daffy Duck; James Bond; Batman; Captain Marvel; Bilbo Baggins, Gandalf and others from "The Hobbit."*
- *Unlike most mammals, cetaceans — which include whales, dolphins and porpoises — must consciously choose to breathe.*
- *In 2014, the authorities in the Himalayan region of Kashmir, at the center of tense relations between India and Pakistan, arrested a pigeon near the border on charges related to espionage.*
- *One of the earliest accounts of kissing was etched into the Barton Cylinder, a clay tablet that dates to around 2400 B.C. It was unearthed in the ancient Sumerian city of Nippur in 1899.*
- *Miami International Airport is the port of entry for about 90 percent of the nation's imported cut flowers.*
- *Before France abolished capital punishment in 1981, executions were still carried out by guillotine, as they had been since the French Revolution.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
January 14 – Pongal January 25 – Republic Day	December 29 – January 06 January 11 – January 18

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
No holidays in January	January 02 – January 05 January 15 – January 18

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 28 – February 04 – Chinese New Year / Spring Festival Holiday	**No holidays in January**	**No more holidays in January**

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ALANG - Port Position as of January 03, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bow Clipper	11,277	Tanker	Arrived January 03
2	*Liya*	*2,287*	*Reefer*	*Delivered January 03*
3	MSC Esha F	4,950	Container	Arrived December 29
Total Tonnage		**18,514**		

CHATTOGRAM - Port Position as of January 03, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	New Smile	1,969	Tanker	Arrived December 26
Total Tonnage		**1,969**		

GADANI - Port Position as of January 03, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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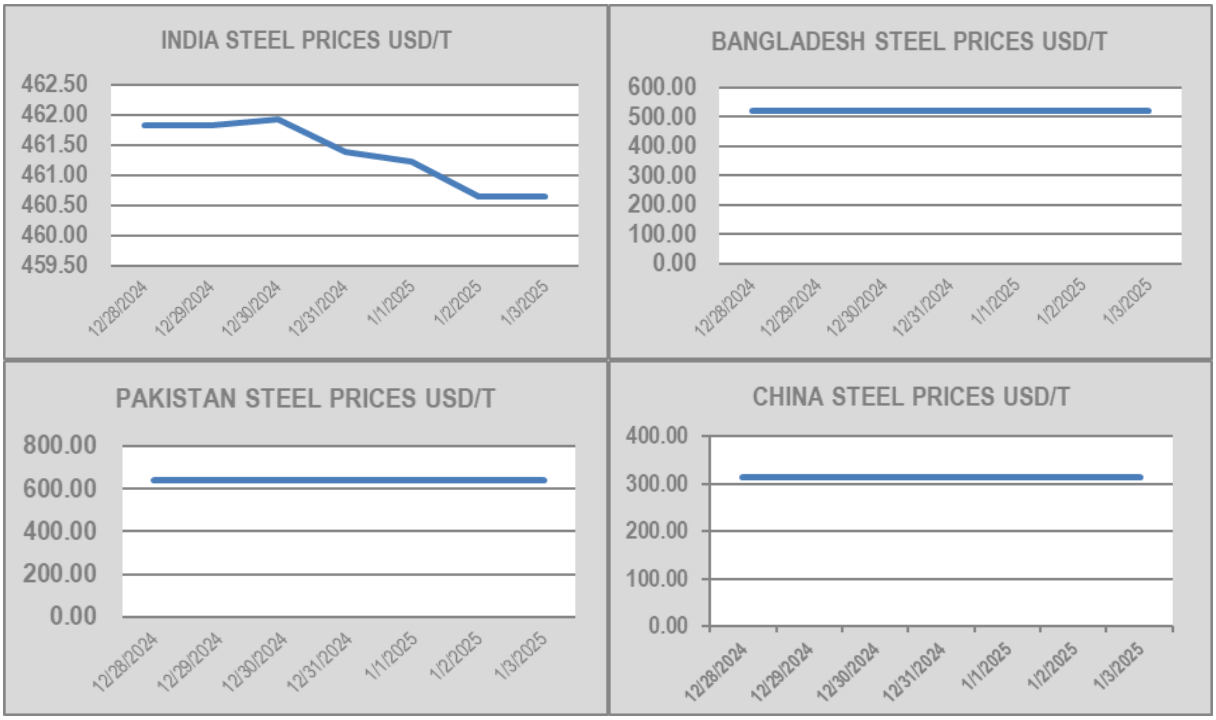
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/28/2024	461.83	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/29/2024	461.83	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/30/2024	461.93	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/31/2024	461.39	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
1/1/2025	461.23	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
1/2/2025	460.64	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
1/3/2025	460.64	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22



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